



PAUL P. JOHN
CHAIRMAN,
JOHN
DISTILLERIES

“You can get it right on quality and packaging, but it all depends on how well it is distributed. You must convince the wholesalers, then hope the consumer accepts it”



ABHIJEET KUNDU
SVP-RESEARCH,
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BROKING

“The effort you put in is never commensurate with the margins. Its (Diageo India’s) profitability took off after the deal (to sell off mass brands)”

single malt. In the prestige category under McDowell’s X series, it has unveiled rum, gin and vodka—a certain vintage of drinkers will recall that all of these once existed. “They may think it is retro, but it is also progressive, and for the youngsters, it is a new brand. McDowell’s has very high equity, and it makes perfect sense to build on it,” Damodaran says.

In Indian single malt whiskies, an early entrant was John Distilleries with its Paul John brand. “To us, the latent need for high-quality alcohol was obvious. For a significant part of the population, there was no visible

constraint of money, which was too big to miss,” says its Chairman, Paul P. John, whose company also owns the Original Choice brand. Today, his single malt sells in defence canteens and duty-free shops at airports.

Building a liquor brand is difficult. According to Preeti Sawhney, Founder & Principal Brand Strategist at BrandRx Strategy Advisory, the pillars of the brand-consumer relationship are the product, its image, price, and packaging. “Looked at this way, several marketing mix variables are available to sharp brands to build their brand equity. For brands don’t just communicate through advertising [which is heavily restricted in India and may be further restricted with the new regulations set to come out shortly],” she says.

That means the non-verbal route is also taken. “It is through the product itself, its quality, taste, uniqueness, and composition, as well as through the packaging, the colours, and the symbolism, to express its positioning. Communication is also through their users, where the PLU [people like us] principle is a strong influencer to drive brand preference,” Sawhney says.

MOVING UPWARDS

Diageo’s premiumisation strategy has many components. High growth in the spirits business now comes from the “prestige and above” or P&A category. (See graphic ‘Rising Spirits’ for the break-up across price points.)

Nagarajan is betting on the demographic shift. “By 2030, India will have 175 million households in the upper-income bracket, larger than many countries. In the next three years, we will have 30 million households in the richest segment, which is the size of the UK,” she says. Then there is the headroom in per capita consumption—90 litres in the UK and just 4.5 litres in India—and Diageo has a pretty good business case.

“Demographics and affluence levels in India are mind-boggling,” says Nagarajan. Also mind-boggling are the recent trends: Women are driving the consumption of single malt whisky and white spirits. “I remember asking Ivan Menezes [the India-born global CEO of Diageo from 2013-2023, who has since passed away] soon after joining Diageo if vodka would be a dead category in five years. It was declining, and gin was exploding, while tequila was taking off in North America,” Nagarajan recalls.

Today, vodka is back with a bang, and India will see a boom in whisky and white spirits. “I see a lot of pride post-Covid and craft spirits is a good example. This phenomenon will continue.” From a revenue perspective, the P&A segment in FY24 accounted for 89% compared with 84% in FY21.

More demographics: India will have 100 million con-